KOPI KITA SDN BHD - PEOPLE AND HIRING POLICY

Version 1.0 | Effective 1 July 2026 | Owner: Head of People | Approved by: Managing Director and CFO

Why we have this policy

We employ about two hundred baristas, outlet managers, roasters and head office staff, and we work with freelancers and interns every month. We do not have an in-house lawyer. This policy sets out the rules every employment contract, internship agreement and freelance agreement must meet before anyone at Kopi Kita signs it. If a contract breaks a rule, do not sign it: change it, or get a written exception under Rule P10.

These rules sit alongside the Kopi Kita Contracting Policy. Where both cover the same point, the stricter rule applies. In this policy, "manager" means an outlet manager, a head office department head, and anyone more senior. A team lead, senior barista, barista, roaster or executive is below manager.

Rule P1. Probation

P1.1 Probation is **3 months at most**. It may be extended once, by up to 1 month, only by written notice that gives the reason before probation ends.

P1.2 During probation, the notice either side must give is **14 days at most**.

P1.3 We tell the employee in writing, at the end of probation, whether they are confirmed.

Rule P2. Notice periods are equal and short

P2.1 After probation, the notice we must give and the notice the employee must give are **the same**. A contract that lets us end employment on 1 month and requires the employee to stay for 3 months is not acceptable.

P2.2 For staff below manager, notice is **1 month at most** each way. For managers, it is **2 months at most** each way.

P2.3 Either side may pay salary in place of notice not worked.

Rule P3. Fixed-term contracts end when they end

P3.1 A fixed-term contract may not renew or convert into a new fixed term automatically, and may not require notice to stop it from continuing.

P3.2 Extending a fixed term needs a new written agreement signed by both sides, made before the term ends.

Rule P4. Hours and rosters

P4.1 Normal working hours are **45 a week at most** for full-time staff, with one rest day each week.

P4.2 Full-time rosters are published at least **14 days** ahead. We change a part-time employee's agreed hours or shifts only on at least **7 days' written notice**, unless the employee agrees to the change.

Sample document for testing. All parties are fictional.

P4.3 Overtime, rest-day and public-holiday work is paid at the rates the Employment Act 1955 requires. Where the Act does not require overtime pay for an employee, we give time off in lieu within 60 days. We never ask for unpaid extra hours.

Rule P5. Pay and deductions

P5.1 Salary is paid by bank transfer **on or before the last working day of the month worked**.

P5.2 Every hour worked is paid, including induction, training and trial shifts. We do not ask anyone to work an unpaid trial or unpaid training period.

P5.3 The hourly rate for part-time staff is **not less than RM 11.00 an hour**.

P5.4 We deduct from wages **only what the Employment Act 1955 allows**: statutory contributions, tax deductions the law requires, and advances the employee has agreed to in writing. We never deduct for uniforms, breakages, cash shortages or lost equipment, and we never make an employee buy back a uniform.

P5.5 If a contract mentions a bonus, it must say how the bonus is decided and when it is paid. A bonus that is "entirely in the Employer's discretion" with no criteria is not acceptable.

Rule P6. Restrictions after employment

P6.1 We do **not** ask staff below manager to sign a non-compete of any length.

P6.2 For managers, a non-compete may last **6 months at most**, cover only named competing roasters or cafe chains in the area where the manager worked, and needs the Managing Director's written approval. Longer or nationwide restrictions are not acceptable.

P6.3 A promise not to solicit our staff may last **12 months at most**.

P6.4 We do not ask any employee to pay liquidated damages, a penalty, or "a sum equal to months of salary" for breaching confidentiality or a restriction, and we do not claim a right to set such sums off against wages.

P6.5 Confidentiality duties in an employment contract must carry the usual carve-outs (public information, information the employee already had, disclosures the law requires), and may last **3 years** after employment ends, except for genuine trade secrets such as roasting profiles.

P6.6 Inventions and work made by an employee belong to Kopi Kita only if made in the course of their job. We do not claim inventions made in their own time, with their own tools, that have nothing to do with our business.

Rule P7. Interns

P7.1 An intern receives an allowance of **at least RM 800 a month**, plus travel between outlets on our business.

P7.2 The notice to end an internship is **equal both ways and 14 days at most**. We do not keep a right to end it on 24 hours' notice while requiring the intern to give 30 days.

P7.3 Work an intern does for Kopi Kita belongs to Kopi Kita. Anything the intern makes outside the internship, in their own time, stays theirs.

P7.4 We give a certificate or letter confirming the work done on request, **whether or not the full internship was completed**, within 14 days of the internship ending.

Rule P8. Freelancers pay as we would want to be paid

P8.1 We pay a valid freelancer invoice within **30 days** of receiving it. The 30 days run from receipt of the invoice, not from a later approval date.

P8.2 Acceptance of work is based on the written brief, not on our "sole opinion". Work not rejected in writing with reasons within 7 days of delivery is deemed accepted. Revisions are limited to **2 rounds** per deliverable; more are charged at the agreed rate.

P8.3 If we cancel or end the project, we pay for all work done up to that point and any non-refundable costs the freelancer has committed.

P8.4 We do not ask a freelancer to work only for us or to avoid other food and beverage clients. No exclusivity, no non-compete.

P8.5 The freelancer keeps ownership of tools, templates and materials they owned before the project. We receive ownership of the finished deliverables once paid, and a permanent licence to any pre-existing material built into them.

P8.6 A freelancer may show the finished work in their portfolio with credit, unless the work is still confidential.

P8.7 A freelancer's indemnity covers **third-party intellectual property claims** about the deliverables only. Their total liability is capped at the fees paid under the agreement.

P8.8 The freelancer's notice to end the agreement is no longer than ours.

Rule P9. Governing law

P9.1 Employment contracts with staff working in Malaysia are governed by the laws of Malaysia. For a freelancer based in another country we may accept that country's law only with the Managing Director's written approval under Rule P10.

Rule P10. Exceptions

P10.1 An exception to any rule in this policy needs the written approval of the Managing Director and the Head of People, with the reason recorded in the contracts register.

P10.2 This policy is reviewed every year by the Head of People.

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